

Sharpening your skills

The capability to make innovation happen develops over time and through trial and error. To ensure your organization keeps improving its capacity for successful innovation, you need to diagnose how your organization manages the process.

Measuring efficiency

Innovation process measures include:

- Number of ideas generated at the start.
- Failure rates in the development process, and in the marketplace.
- Number or percentage of overruns on development time and budgets.
- Customer satisfaction measure—did the customers get what they wanted?
- Average time to market, compared with industry norms.
- Development time per completed innovation.
- Average lead time for the introduction of a process innovation.

Measuring innovation success

In addition to monitoring the efficiency of the process, it is also important to establish whether or not it is benefiting the organization as a whole. The first factors to measure are resources you devote to the process, such as time, money, training investment, strategic targeting, and overall guidance. These can be compared with outputs, such as the number of new products introduced, and profits derived from them; improvements in processes, calculated through customer satisfaction or efficiency surveys; comparisons with competitors; and overall business performance.

TIP

THINK LONG TERM

Review and audit even small-scale projects. This may not offer immediate benefits, but will make your organization better at innovation in the long run.

